

cannot be emphasized enough. Until people understand how bitcoin works, they often argue that it has no value as currency because, unlike what they're used to, you can't see it, touch it, or smell it.

Paper currency has value because it is mutually agreed upon by members of society that it has value. It's much easier for society to agree to this with a government involved. Getting a global society to agree that something has value and can be used as a currency without government support and without a physical form is one of the most significant accomplishments in monetary history.

When bitcoin was launched, it had zero value in the sense that it could be used to purchase nothing. The earliest adopters and supporters subjectively valued bitcoin because it was a fascinating computer science and game theory experiment. As the utility of Bitcoin's blockchain proved itself a reliable facilitator of Money-over-Internet-Protocol (MoIP),<sup>8</sup> use cases began to be built using bitcoin, some of which now include facilitating e-commerce, remittances, and international business-to-business payments.

Concurrent with the early development of use cases, investors started to speculate on what future use cases would look like and how much bitcoin those use cases would require. Together, the combination of current use cases and investors buying bitcoin based on the expectation for even greater future use cases creates market demand for bitcoin. How much is a buyer willing to pay for something (the bid), and how much is a seller willing to receive to part with that item (the ask)? As